

ITV plc — Capital Structure & Financing Options Analysis

Analysis date: 15 September 2026 | Independent analysis based on the FY2025 Annual Report and H1 2026 Interim Results

Recommendation

The analysis indicates that ITV does not require additional external financing in the base case. The September 2026 €360m Eurobond maturity is largely addressed through the existing £300m term loan, with the remaining requirement covered by existing liquidity. Cash generation covers the dividend and the announced £100m buyback while net debt continues to fall. In a downside case, reducing the dividend would provide an additional source of liquidity without introducing the shareholder dilution associated with an equity raise.

Key metrics

Metric	Value
Reported net debt (H1 2026A)	£652m
Covenant leverage (H1 2026A)	1.0x (limit: 3.5x)
2026 maturity	€360m; existing £300m term loan plus existing liquidity
Total liquidity (H1 2026A)	£1,304m
FY2028E closing net debt (base case)	~£494m
FY2028E covenant leverage (base case)	~0.73x
Financing trigger (model)	Projected cash below £250m

1. Capital structure position

ITV holds investment-grade credit ratings and has reiterated its commitment to maintaining them. Reported net debt on 30 June 2026 was £652m, up from £566m at FY2025 year-end, reflecting seasonal working capital and payment of the FY2025 final dividend. Covenant net debt (reported net debt adjusted for IFRS 16 leases, long-term trade payables and the pension asset) was £574m. Covenant leverage was 1.0x against a limit of 3.5x, leaving roughly 2.5x of headroom.

The debt structure is simple: two Eurobonds (the €360m remaining on the 2026 issue and a €500m 2032 issue) plus a small amount of other loans. Lease liabilities of £109m sit outside the bond structure. There is no hybrid or structured debt.

2. Financing requirement

The only material near-term maturity is the €360m Eurobond due September 2026. The existing £300m term loan, secured in the first half of 2025 and drawable from 26 June 2026, addresses the bulk of it, with the balance funded from existing liquidity. The euro face amount and sterling facility are in different currencies, so this is an analytical bridge rather than an exact settlement figure. The next material maturity is the €500m Eurobond in June 2032.

Under the standalone base case, cumulative free cash flow over FY2026E–FY2028E covers the dividend and the £100m buyback announced on 31 July 2026 and still reduces reported net debt. No new external financing beyond existing committed facilities is required under the base, downside or upside scenarios.

3. Financing options

Refinance / term-out. Existing solution. The £300m term loan addresses the 2026 maturity and preserves the profile of the remaining debt.

Equity issuance. The model does not indicate a financing need that would justify equity issuance in the base case. An illustrative £300m raise at 70p would create approximately 10% post-issue dilution with no corresponding need. It would only be considered beyond the Liquidity Stress scenario described below.

Dividend reduction. Discretionary lever. Cutting the dividend from 5.0p to 2.5p would retain about £94m a year. ITV's stated policy is at least 5.0p, so this is a stress lever, not a base-case assumption.

Asset disposal. Strategic context rather than a financing response. The M&E sale to Sky (announced 6 July 2026, expected completion H2 2027) is expected to return about £950m net cash to shareholders and is excluded from the standalone base case.

No incremental financing. Base-case conclusion. ITV self-funds, covers distributions and de-levers.

4. Sensitivity and key risks

The margin sensitivity indicates that the £250m cash-floor trigger is reached at an EBITA margin of approximately 12.2%. This compares with a 15.2% base margin, implying around 300bps of downside before the model's funding-action threshold is reached. That sits just below ITV's guided 13–15% range, so margin compression is a closer risk than covenant headroom alone suggests.

Downside (revenue –3%, margin 13.2%, higher finance costs): minimum cash of about £201m falls below the £250m trigger, but FY2028E covenant leverage is about 1.3x. Liquidity Stress (revenue –5%, margin 11%): modelled cash turns negative (about –£143m at its lowest) and covenant leverage reaches about 2.8x against the 3.5x limit. That shortfall would be met from undrawn committed facilities of about £740m after reserving the term loan, which is why dividend reduction is the first lever rather than new equity.

Principal risks: sustained advertising weakness, faster linear decline, content margin erosion, further advertising regulation, and FX on overseas earnings.

5. Strategic considerations

The Sky transaction changes ITV's post-completion profile: ITV becomes a pure-play content business (ITV Studios) with leverage of approximately 1.5x and around £950m returned to shareholders. Until completion, ITV operates both businesses and the standalone base case applies. The model treats the transaction as a separate case because completion remains subject to regulatory approval.

6. Conclusion

ITV does not require new external financing beyond its existing committed facilities under the base, downside or upside scenarios, and the Liquidity Stress case remains within committed liquidity. The existing term loan addresses the 2026 maturity. Within the scenarios modelled, dividend reduction is the main discretionary liquidity lever before considering new equity or other external financing.

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